

BioFresh SAS — M&A; Valuation & LBO Model

Verdant Capital Partners · Fund III €320M AUM · Agri-Food · WACC 6.82% · Entry EV €75M · Recommendation: BUY · Prepared by Aryan S. Kothari, SKEMA Paris

Income Statement + FCF Bridge (Base Case · €k)

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	38,096	41,220	44,600	48,168	52,021	56,183	60,678	65,532
Revenue Growth	—	8.2%	8.2%	8.0%	8.0%	8.0%	8.0%	8.0%
Gross Profit	10,857	11,748	12,711	13,728	14,826	16,012	17,293	18,677
SG&A	-5,524	-5,977	-6,467	-6,984	-7,543	-8,147	-8,798	-9,499
EBITDA	5,333	5,771	6,244	6,984	7,803	8,427	9,102	9,830
EBITDA Margin	14.0%	14.0%	14.0%	14.5%	15.0%	15.0%	15.0%	15.0%
D&A	-1,143	-1,237	-1,338	-1,445	-1,561	-1,685	-1,820	-1,966
EBIT	4,190	4,534	4,906	5,539	6,242	6,742	7,282	7,864
Tax (25%)	-1048	-1134	-1227	-1385	-1561	-1686	-1821	-1966
NOPAT	3,142	3,400	3,679	4,154	4,681	5,056	5,462	5,898
Add: D&A	1,143	1,237	1,338	1,445	1,561	1,685	1,820	1,966
Less: CapEx	-952	-1,031	-1,115	-1,204	-1,301	-1,405	-1,517	-1,638
Less: ΔWC	-250	-270	-285	-308	-333	-360	-388	-419
UFCF	—	3,632	—	4,110	4,633	5,003	5,405	5,838

WACC (CAPM) Build & DCF Valuation

WACC Component	Value	Source	DCF Output	Value
Risk-Free Rate (10Y OAT)	3.30%	Banque de France	Sum of PV(FCF) FY25–29	€20,362k
Equity Beta	0.85×	Damodaran	Terminal Growth Rate	2.50%
Equity Risk Premium	5.50%	Damodaran	Terminal Value (Gordon)	€138,513k
Cost of Equity (CAPM)	7.98%	$r_f + \beta \times ERP$	PV of Terminal Value	€99,593k
Pre-Tax Cost of Debt	5.50%	Loan market	Enterprise Value (DCF)	€119,954k
After-Tax Cost of Debt	4.13%	$\text{Pre-tax} \times (1 - 25\%)$	Less: Net Debt	(€3,200k)
Equity Weight	70%	Target structure	Equity Value (DCF)	€116,754k
Debt Weight	30%	Target structure	Entry EV (NBO)	€75,000k
WACC	6.82%	$70\% \times CoE + 30\% \times CoD(AT)$	NPV of Acquisition (Base)	+€44,954k ✓

LBO Model — Sources & Uses · Debt Schedule · Returns (All Scenarios)

USES	Amount (€k)		SOURCES	Amount (€k)
Purchase Price (EV)	75,000		Equity (40%)	30,000
Advisory Fees (2%)	1,500		Senior Debt (60%)	45,000
Total Uses	76,500		Total Sources	75,000

Scenario	Rev Growth	EBITDA Margin	Exit EV	Remaining Debt	Exit Equity	MOIC	IRR	vs 20% Hurdle
BEAR	3% p.a.	13.0%	€80,664k	€20,000k	€60,664k	2.0×	15.1%	■ Below
BASE	8% p.a.	14.5–15%	€117,958k	€20,000k	€97,958k	3.3×	26.7%	✓ Above
BULL	12% p.a.	15.5%	€141,797k	€20,000k	€121,797k	4.2×	33.3%	✓ Above

NPV Sensitivity — WACC vs Revenue Growth (Base Case highlighted)

WACC \ Growth	0%	3%	5%	8%	10%	12%	15%
5%	€79,297k	€98,271k	€111,919k	€133,978k	€149,794k	€166,543k	€193,497k
6%	€35,412k	€48,667k	€58,196k	€73,587k	€84,617k	€96,292k	€115,073k
6.82%	€14,583k	€25,130k	€32,709k	€44,945k	€53,709k	€62,984k	€77,896k
8%	(€4,497k)	€3,579k	€9,377k	€18,733k	€25,431k	€32,514k	€43,898k
9%	(€15,248k)	(€8,559k)	(€3,758k)	€3,983k	€9,521k	€15,377k	€24,783k
10%	(€23,136k)	(€17,458k)	(€13,386k)	(€6,824k)	(€2,131k)	€2,828k	€10,791k

Valuation Summary & Investment Recommendation

Method	Implied EV (€k)	Premium to Entry (€75M)	Notes
DCF — Bear (3% growth, 13% margins)	€84,046k	+12.1%	Conservative — 3% CAGR, margins stable
DCF — Base (8% growth, 14.5–15% margins)	€119,954k	+59.9%	Management plan — organic growth + expansion
DCF — Bull (12% growth, 15.5% margins)	€144,151k	+92.2%	Upside — Occitanie expansion, NRR compounds
Entry EV (Verdant NBO)	€75,000k	—	Benchmark — starting point

RECOMMENDATION: BUY — Positive NPV in all three scenarios. LBO IRR of 26.7% (Base) exceeds 20% hurdle. Entry at €75M represents a 37% discount to base-case intrinsic value of €119.95M.